Key finding 3

Employer focus on economic value is driving fundamental changes in brokers' roles.

Brokers have long played an essential role in the workforce benefits sector, but the nature of the work they do is evolving. Still, brokers will remain the backbone of workforce benefits distribution, even as market forces reshape their relationships with other influential players.

Brokers are increasingly being relied on more as strategic advisors and consultants. Those that can facilitate and support data-driven, ROI-based decisions in the face of higher costs, intensifying regulation, rising employee expectations and diversifying product portfolios will be best positioned for future success, particularly in terms of designing holistic benefits programs.

A hyper-focus on value and data: Nearly three-quarters (71%) of employers are looking for data and information on what employees want. Cost trends, benefits participation rates and utilization trends are the next most critical information that employers are seeking. *See Figure 7*. Brokers are interested in delivering this data to clients but may be reliant on carriers to provide it. As one told us, "Brokers are hungry and desperate for data. And the carriers have it, and they're not using it. So, the number one thing a carrier can do to differentiate themselves is create a reporting package that is fully transparent."

Figure 7

Employers are seeking a wide array of data as input into their decision-making.

QUESTION: What are the top three most important types of data considered when making decisions about the design of your benefits program?

